# Pizza Place Project: Corporate Finance in the Real World

A Comprehensive Journey Through Deliverables One, Two, and Three

Course: Financial Analysis for Tech Managers
Semester: Fall 2025

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5th December 2025

# About the Business & Project Mission

## Little Pizza Parlor

An independent neighborhood pizzeria with a strong community presence, managed by Lev Antoshin Located at 192 Duffield Street in Brooklyn

## Our Team's Role

To evaluate operations, analyze financial data, assess financing decisions, and model expansion feasibility for the pizzeria.

## Project Objective

To connect leadership theory, financial analysis, and valuation using real business insights gained from the Little Pizza Parlor.

## Key Stakeholder : Customers • Employees • Suppliers • Community • Manager

# Our Project Story: From Insights to Valuation

### Leadership & Insights

**Observed real challenges from Lev:** staffing, supplier info gaps, stakeholder management.

**Theory → Reality Connection:** Agency Theory, Stakeholder Theory, Information Asymmetry.

### Financial Modeling

Customized financial statements (Years 1–3), analyzed margins, cost behavior, and operating efficiency.

Set the baseline for forecasting & strategic analysis.

### Scooter Decision

Compared cash, lease, and loan using real financial reasoning.

**Outcome:** 5-year bank loan chosen for best balance of liquidity + ownership.

### Acquisition Valuation

Modeled revenue, FCF, NPV, IRR, WACC for Sagnotti's Pizzeria.

**Outcome:** Mixed financing (33% equity + 67% debt) created highest value.

### Final Recommendation

Recommended expansion + optimal capital structure based on theory + data + real business insight.

# Deliverable 1: Leadership Interview Insights

### Agency Theory

We saw firsthand how Lev balances trust and oversight with his staff.
Aligning staff behavior and incentives with the overarching business goals to enhance productivity and reduce conflicts of interest.

### Stakeholder Theory

Managing the diverse expectations and needs of various groups customers, employees, suppliers, and the community for sustainable growth.

### Information Asymmetry

Lev's real vendor challenges made this theory feel practical and relatable.
Reducing the informational advantage that suppliers might have, ensuring fair deals and transparent transactions for the pizzeria.

> At the end of the day, customers don't just come for the pizza — they come for consistency. And getting the team to deliver that every day is the real challenge.
>
> — Lev Antoshin, Manager, Little Pizza Parlor

## Key Insights From Our Visit

- Observed Lev multitasking during rush hours → showed real-time leadership pressure
- Staff sometimes prioritize speed over quality → clear Agency Theory example
- Lev shared supplier experiences where they had more pricing info → Information Asymmetry in practice
- Managing expectations of customers, staff, and vendors showed Stakeholder Theory in action

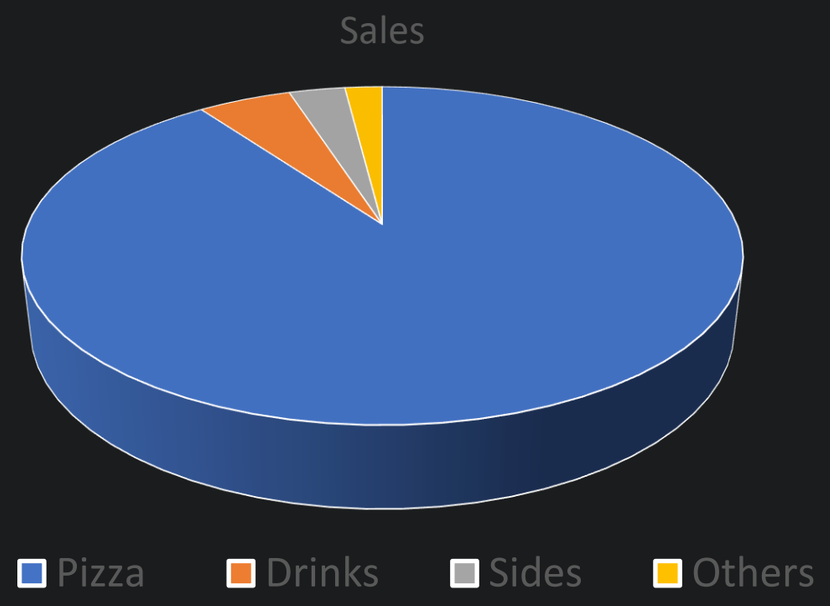
## What We Gained as a Team

- Theories became practical through real examples
- Direct interaction increased our confidence in applying academic concepts
- Interview helped us understand the human side of financial and managerial decisions

# Deliverable 2: Customized Financial Statements (Years 1–3)

## Financial Highlights

- Revenue growth: A consistent **3% per year**, reflecting stable demand and pricing strategies.
- Product mix: Dominance of pizza at **90%**, with sides (5%), drinks (3%), and others (2%) contributing the remainder.
- COGS: Maintained at a lean **30%** of revenue, demonstrating efficient cost management.
- Gross margin: A strong **70%**, indicating healthy profitability before operating expenses.
- Operating expenses: Proportionate to revenue, showing controlled overheads as the business scales.




## Importance for Group Analysis

### Forecasting Baseline

The detailed statements provided a reliable baseline for accurate financial forecasting.

### Cost Behavior Clarity

Offered a clear picture of cost behavior and margin structures, crucial for strategic decisions.

# Deliverable 2: Scooter Acquisition Decision

Electric Scooter Selected: NIU MQi+
Total Cost: **$4,500**

## Options Evaluated

### 1. Cash Purchase

Reduces immediate liquidity, impacting short-term cash flow and emergency reserves.

### 2. Lease Agreement

Results in higher long-term costs and no asset ownership, limiting future flexibility.

### 3. 5-year Bank **Loan** at 7%

Identified as the optimal choice, balancing cost, ownership, and cash flow.

## Why Our Group Selected the Loan

### Maintains Cash Reserves

Preserves working capital for operational needs and unexpected expenses.

### Predictable Payments

Offers stable, manageable monthly payments, aiding in budget planning.

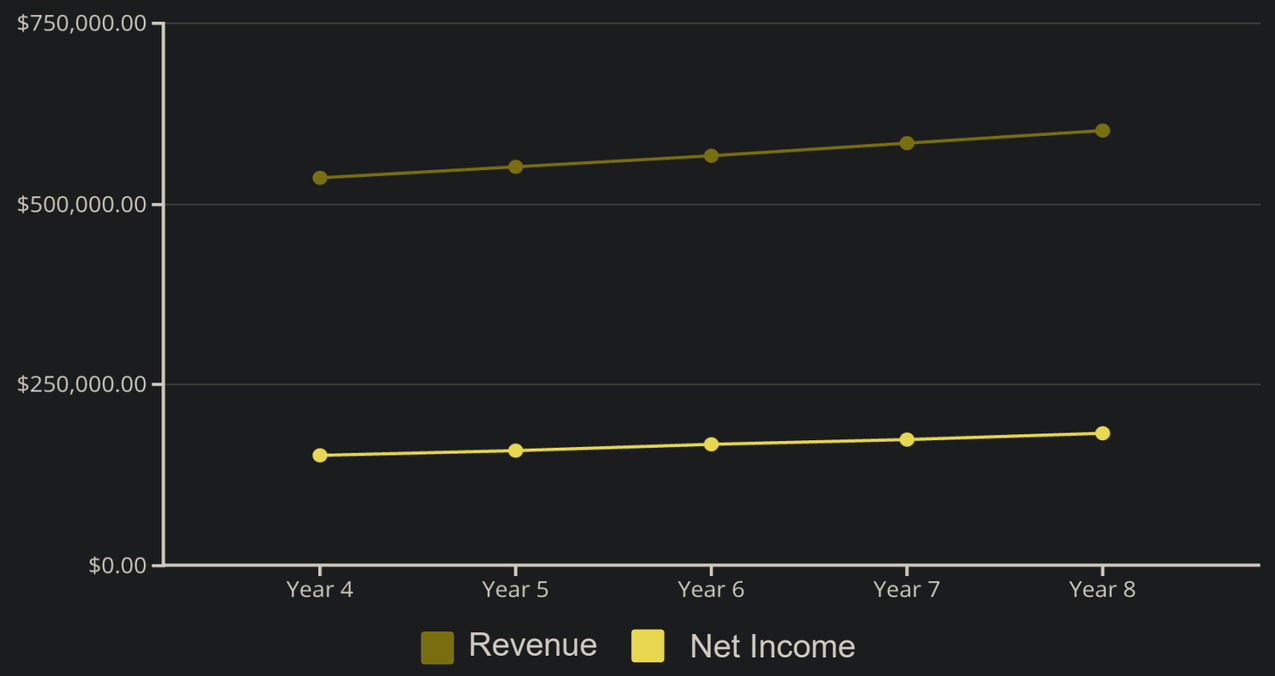
### Asset Ownership Retained

Allows the pizzeria to build equity and benefit from the asset's full lifespan.

# Deliverable 2: Five-Year Forecast (Years 4–8)

## Projected Outcomes

- Revenue: Expected to rise significantly from **$535K to $602K**, driven by efficiency and market growth.
- Net Income: Increases from **$151K to $181K**, demonstrating enhanced profitability.
- Long-term Liabilities: Steadily decrease annually, improving the company's financial health.
- Delivery Efficiency: Notably improved due to the new scooter, reducing operational costs and increasing customer satisfaction.
- Retained Earnings: Show a consistent annual increase, bolstering the business's internal funding capacity.




## Interpretation

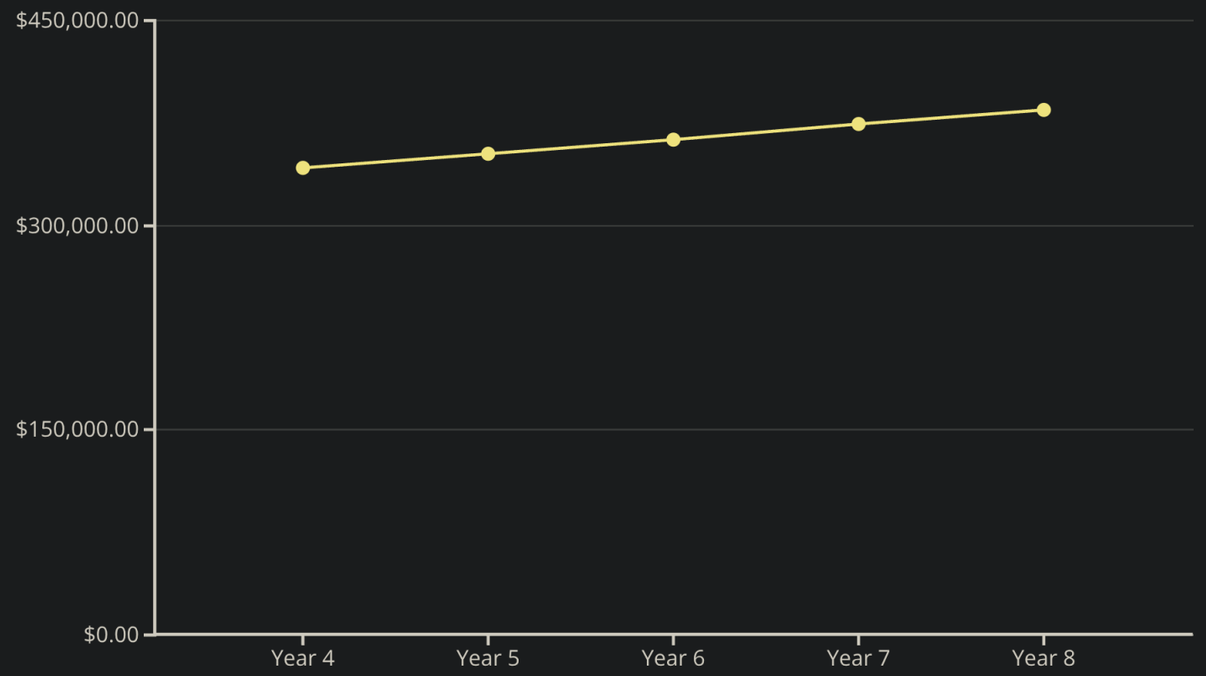
### Strong Stability

Demonstrates robust operational and financial stability, fostering investor confidence.

### Effective Integration

Highlights the successful integration of new assets into the business model, yielding positive returns.

# Deliverable 3: Acquisition of Sangnotti's Pizzeria




## Financial Forecast (Years 4–8)

- Starting Revenue: **$1,000,000** with a consistent 3% annual growth, indicating a mature and expanding market presence.
- Gross Margin: A healthy **70%**, reflecting efficient cost of goods management similar to the Little Pizza Parlor.
- Net Income: Projecting growth from **$335K to $380K**, showcasing strong bottom-line performance.
- Free Cash Flow: Expected to increase from **$342K to $387K**, ensuring ample liquidity for future investments and debt servicing.

## Why It's a Strong Expansion Choice

→ Predictable Performance
Consistent financial results minimize risk and support long-term planning.

→ Low Reinvestment Needs
Requires minimal additional capital, freeing up cash for other strategic initiatives.

→ Highly Scalable
Operations are structured for easy expansion and replication, offering significant growth potential.

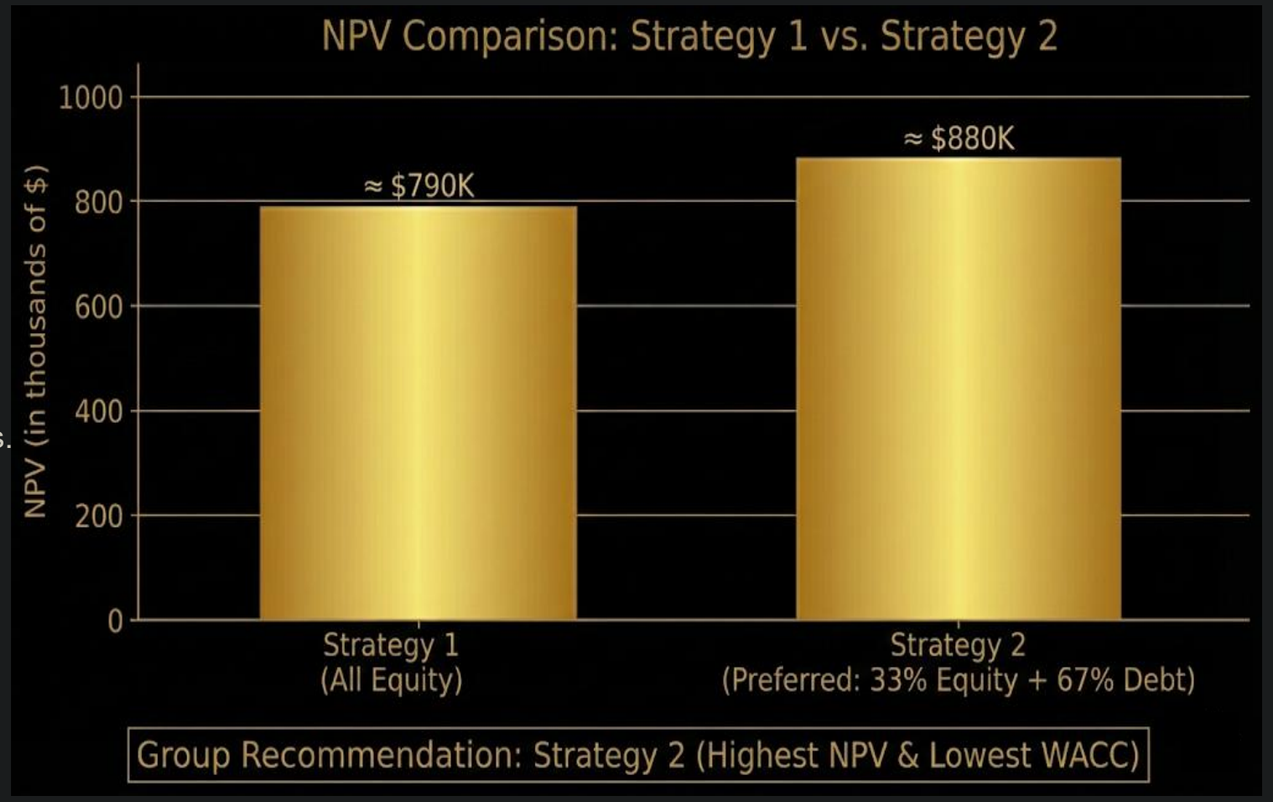
# Deliverable 3: Valuation & Financing Strategy

## Strategy 1 — All Equity

- WACC: **10.6%**, reflecting a higher cost of capital due to reliance solely on equity.
- NPV: Approximately **$790K**, indicating a strong positive value creation.
- IRR: Ranging from **89–92%**, showcasing an exceptional return on investment.
- Payback Period: Rapidly achieved in approximately **1 year**.

## Strategy 2 — 33% Equity + 67% Debt (Preferred)

- WACC: Significantly lower at **7.6%**, due to the tax advantages of debt financing.
- NPV: Higher at approximately **$880K**, maximizing the project's value to shareholders.
- IRR: Remains unchanged, as IRR is independent of financing structure.




## Group Recommendation

1. **Optimal Financing**
   Utilize **$100K equity + $200K debt** to achieve a balanced capital structure.
2. **Maximized NPV**
   This strategy results in the highest Net Present Value, enhancing shareholder wealth.
3. **Lowest Cost of Capital**
   Achieves the lowest Weighted Average Cost of Capital, ensuring efficient funding.

# Team Reflection : What We Learned as Analysts & Leaders

### Financial Reasoning & Modeling

Developed robust financial models and honed the ability to interpret complex financial data for strategic decision-making.

### Problem-Solving & Critical Thinking

Applied analytical frameworks to address real-world business challenges and derive actionable insights.

### Curiosity & Adaptability

Embraced new information and adjusted approaches to fit evolving project needs and insights.

### Empathy for Small Businesses

Gained a deeper understanding of the operational realities and financial constraints faced by small businesses like the pizzeria.

### Communication

Improved skills in articulating complex financial analysis and recommendations through written reports and presentations.

## Key Takeaways

### Real Data Validation

Working with authentic data made theoretical concepts like CAPM, WACC, and TVM intuitive and tangible.

### Human-Centered Judgment

The leadership interview provided invaluable context, improving our ability to make financially sound judgments with a human element.

### Enhanced Collaboration

Teamwork significantly elevated the quality and depth of our analytical work and overall project output.

# Conclusion & Appreciation

## Final Insights

### Operational Foundation

Little Pizza Parlor exhibits a strong operational base in its initial years, setting the stage for growth.

### Scooter Efficiency

Strategic scooter financing enhances cost efficiency and optimizes delivery operations.

### Mixed Financing

A blend of equity and debt is recommended to achieve the optimal capital structure and maximize returns.

### Value Creation

The acquisition of Sagnotti's Pizzeria presents a significant opportunity for value creation and market expansion.

# Thank You for reviewing our work

*We appreciate the guidance and support throughout this project.*

Acknowledgments:

Lev Antoshin - Manager of Little Pizza Parlor

Dr. Joseph Foy – NYU Tandon

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